AGA KHAN UNIVERSITY EXAMINATION BOARD

HIGHER SECONDARY SCHOOL CERTIFICATE

CLASS XII

ANNUAL EXAMINTAION (THEORY) 2024

Principles of Accounting Paper II

Time: 1 hours 50 minutes Marks: 60

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INSTRUCTIONS

Please read the following instructions carefully.

1. Check your name and school information. Sign if it is accurate.

I agree that this is my name and school. **Candidate's Signature**

RUBRIC

2. There are THIRTEEN questions. Answer ALL questions.
3. When answering the questions:

   Read each question carefully.
   Use only a black pointer to write your answers. DO NOT write your answers in pencil.
   Use a black pencil for diagrams. DO NOT use coloured pencils.
   DO NOT use staples, paper clips, glue, correcting fluid or ink erasers.
   Complete your answer in the allocated space only. DO NOT write outside the answer box.

4. The marks for the questions are shown in brackets ( ).
5. You may use a scientific calculator if you wish.
6. Wherever new terminologies are mentioned their old terminologies are mentioned in the brackets for your assistance.

Use the given information to answer Q.1 and Q.2.

Al-Hamra traders have lost all their financial and accounting records during a fire incident. The business only has record of total sales revenue and net profit. The business follows 30% margin on sales policy.

Q.1. (Total 5 Marks)

Complete the given table by calculating the missing values.

(**Note**: show the necessary steps of working)

Account Title	**Amount (Rs)**
Sales revenue	2,000,000
Less: cost of sales (cost of goods sold)	**?**
Gross profit (300% of net profit)	**?**
Less: Operating expenses	**?**
Add: Other income (2% of sales revenue)	**?**
Net Profit	200,000

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Q.2. (Total 2 Marks)

Compute markup of the business from the given data.

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Q.3. (Total 5 Marks)

Jamsheed is a treasurer of a sports club NPO (Non-Profit Organisation). Jamsheed is able to provide the following information related to the subscription of the members.

S.No.	Particulars	Amount (Rs)
1.	Accrued subscriptions from members (January 01, 2014)	420
2.	Subscriptions received from members in cash during the year (including advance subscription)	9,720
3.	Subscriptions prepaid by members (December 31, 2014)	300

(**Note**: The financial year of the sports club ends on 31 December.)

Prepare the subscriptions account as it would appear in the ledger of the sports club for the year ended December 31, 2014. Show the amount transferred to the income and expenditure account.

Subscriptions Account					

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Q.4. (Total 2 Marks)

Describe any TWO given terms with reference to NPO (non-profit organization) accounting.

a. Deficit and surplus

_____

_____

b. Receipt and payment account

_____

_____

c. Income and expenditure account

_____

_____

Q.5. (Total 5 Marks)

Adeel, Basit and Careem are partners in a firm. The following statement of the financial position (balance sheet) of the business on March 31, 2024 is as under:

Account Title	Amount (Rs)	Account Title	Amount (Rs)
Cash	22,000	Liabilities	40,000
Trade receivables (accounts receivable)	48,000	Capital – Adeel	70,000
Inventory	34,000	Capital – Basit	140,000
Furniture	320,000	Capital – Careem	210,000
Profit and loss account	36,000		
	460,000		460,000

On this date, the partners decided to liquidate the business. The assets and liabilities were disposed of as under:

- Trade receivables (accounts receivable) of Rs 45,000 were received as full and final payment.
- Cash of Rs 30,000 was received against sale of inventory.
- Furniture was disposed for Rs 300,000.
- Liabilities were paid in full.

If the partners share profit and loss on the basis of capital ratio, then prepare the entries in general journal to record the following:

- Sales of asset
- Payment of liabilities
- Distribution of gain or loss on realisation
- Final payment to partners

S. No.	Particulars	P.R.	Debit	Credit

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Q.6. (Total 5 Marks)

Huzaifa and Zahra are partners in a firm sharing profit and loss in the ratio 3:2. The following details have been taken from the records of their business.

Particulars	**Amount (Rs)**
Capital as on April 01, 2023 - Huzaifa	320,000
Capital as on April 01, 2023 - Zahra	280,000
Drawings during the year - Huzaifa	60,000
Drawings during the year - Zahra	48,000
Profit for the year	94,000

Few of the clauses of the partnership agreement signed between them are as under:

- Interest on capital is to be allowed at 6% per annum.
- Interest on drawings is to be charged at 3% per annum.
- Zahra is allowed a bonus of 5% on her opening capital balance.
- Residual profit or loss is to be shared between both the partners in equal ratio.

Prepare the profit and loss appropriation account for the year ending March 31, 2024.

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Q.7. (Total 5 Marks)

Maha and Farah are partners in a firm. The statement of financial position (balance sheet) of the firm as on December 31, 2023 is as under:

Assets	Amount (Rs)	Equity	Amount (Rs)
Cash	180,000	Capital – Maha	350,000
Other assets	520,000	Capital – Farah	350,000

On this date, both partners agreed to admit Rehana as their new partner under the following conditions:

- Rehana invested Rs 300,000 for 1/3rd interest in the firm. Old partners are not ready to reduce the capital.

  OR

- Rehana invested Rs 190,000 for 1/5th interest in the firm. Her capital will be recorded as the entire amount for investment.

Prepare the following for any ONE of the above mentioned conditions.

- Necessary journal entries (3 Marks)
- Statement of financial position (balance sheet) (2 Marks)

S. No.	Particulars	P.R.	Debit	Credit

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Q.8. (Total 5 Marks)

Describe any FIVE conditions under which a partnership firm or business is dissolved.

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Q.9. (Total 6 Marks)

On January 01, 2023, Super Stone Limited offered 500,000 ordinary shares capital of Rs 20 each at par. The bank informed the directors that applications for 520,000 shares were received. The directors of the company allotted the offered shares and returned the excess shares applications to the applicants.

The company also allotted 10,000 shares at par against the printing of prospectus, memorandum of association and articles of association.

The company issued 10,000 5% debentures payable of Rs 100 each @ Rs 90 per debenture. The debentures are redeemable @ 105 each after 10 years. All debentures were duly subscribed.

Prepare the necessary general entries to record the given transactions of Super Stone Limited.

S. No.	Particulars	P.R.	Debit	Credit

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Q.10. (Total 4 Marks)

The following details have also been provided by Star Limited for the year ended on December 31, 2023.

Account Title	Amount (Rs)
Net profit before tax	220,000
Depreciation charged on non-current assets	12,500
Increase in trade receivables (account receivables)	24,500
Decrease in prepaids	7,500
Loss on disposal of non-current assets	16,000
Received from issue of shares	60,000
Purchase of new machine	80,000

Prepare the operating activity section of the cash flow statement by using the indirect method.

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Q.11. (Total 10 Marks)

The following balances were extracted from the trial balance of Sehat Limited as on December 31, 2023.

Account Title	Amount (Rs)
Sales revenue	972,000
Purchases	438,500
Inventory as on January 01, 2023	142,000
Trade receivabes (accounts receivable)	192,000
Allowance for doubtful (bad) debts	3,600
Trade payables (accounts payable)	138,400
Salaries expense	72,000
Utiity bills	90,000
Advertisement cost	48,000
8% Debentures repayable in 2023	200,000

The following additional information was provided by the business at the end of the year:

- Utility bills of Rs 9,500 were outstanding.
- Tax rate applicable on Sehat Limited is 35%.
- Prepaid advertisement on December 31, 2023 amounted to Rs 12,000.
- Debentures were issued on July 01, 2023and interest on debenture is due.
- Amount due from a customer of Rs 7,000 was written off on December 31, 2023.
- Cost of inventory as on December 31, 2023 was Rs 118,000, whereas its Net Realisable Value (NRV) was Rs 116,500.
- Allowance (provision) for doubtful debts is to be maintained at 2% of the year end trade receivables (accounts receivable) balance.

Prepare the income statement for Sehat Limited for the year ended December 31, 2023.

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Use the given information to answer Q.12 and Q.13.

The following details are related to inventory records of Gulshan Auto parts for the month of June 2023:

Date	Details	Quantity and Rate
01.06.2023	Balance	1,000 units @ Rs 20.00 per unit
05.06.2023	Purchases	600 units @ Rs 21.00 per unit
10.06.2023	Purchases	500 units @ Rs 23.00 per unit
15.06.2023	Sales	750 units @ Rs 30.00 per unit
20.06.2023	Sale	800 units @ Rs 29.00 per unit
25.06.2023	Purchases	1,200 units @ Rs 24.50 per unit

Q.12. (Total 3 Marks)

If the business uses the 'Perpetual Inventory System', then calculate the following by using the average cost (AVCO) method of inventory for the month of June 2023.

- Gross profit (1 Mark)
- Cost of ending inventory (1 Mark)
- Cost of goods sold (1 Mark)

Date	Particulars	Receipt			Issued			Balance		
		Units	Rate	Amount	Units	Rate	Amount	Units	Rate	Amount

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Q.13. (Total 3 Marks)

If the business uses the 'Periodic Inventory System', then compute the following by using the average cost (AVCO) method of inventory for the month of June 2023.

- Cost of goods available for sale. (1 mark)
- Average unit cost (1 mark)
- Cost of ending inventory. (1 mark)

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END OF PAPER

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